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MAKERERE UNIVERSITY BUSINESS SCHOOL

COURSEWORK ONE TEST FOR THE BACHELOR OF BUSINESS ADMINISTRATION,
BACHELOR OF COMMERCE, BACHELOR OF INTERNATIONAL BUSINESS, BACHELOR
OF BUSINESS STATISTICS, BACHELOR OF SCIENCE IN FINANCE, BACHELOR OF
SCIENCE IN ACCOUNTING AND BACHELOR OF MARKETING, ACADEMIC YEAR
2025/2026,

COURSE NAME: ENTREPRENEURIAL MINDSET AND ACTION

COURSE CODE: BBA& BIB-BEM3112; BCOM, BSA, BSF, BMKT-BEM3216; BBS-BEM3105

DATE: 14th/09/2025, TIME: 12:00-1:00PM

YEAR OF STUDY: THREE, SEMESTER: ONE

Instructions:

Answer ALL questions

1. Entrepreneurship is often seen as an attitude. How can this attitude be best described?
 - A. An entrepreneurial attitude involves following established norms and routines.
 - B. An entrepreneurial attitude is passive, awaiting opportunities to present themselves.
 - C. An entrepreneurial attitude is primarily pessimistic, anticipating challenges and failures.
 - D. An entrepreneurial attitude embodies a proactive, positive outlook that believes in exploiting opportunities despite inherent limitations.
2. Entrepreneurship as an ability goes beyond mere skills. What does this ability encompass?
 - A. Entrepreneurship as an ability involves adhering to rules and regulations.
 - B. Entrepreneurship as ability entails identifying and exploiting opportunities, showcasing entrepreneurial and managerial skills.
 - C. Entrepreneurship as an ability relates to avoiding risks and uncertainties.
 - D. Entrepreneurship as an ability focuses on routine tasks and responsibilities.
3. Entrepreneurship is often described as a dynamic process. What key elements are involved in this entrepreneurial process?
 - A. Identification of a business opportunity and immediate implementation.

- B. A sequential and rigid process focusing on feasibility study, followed by resource mobilization and business establishment.
 - C. A stagnant process with fixed steps, unresponsive to market changes.
 - D. A dynamic process of creating incremental value through innovation and value creation.
4. Which statement best reflects entrepreneurship as a career?
- A. It is a fallback option when jobs are scarce
 - B. It is a structured, linear progression with fixed promotions
 - C. It can be a chosen path requiring developable skills and deliberate planning
 - D. It is compatible with higher education
5. What is the term for the process of creating and delivering value to customers and stakeholders in a new or existing market?
- A. Innovation
 - B. Venture creation
 - C. Intrapreneurship
 - D. Entrepreneurship
6. Which of these actions of an entrepreneur will most likely result in creative destruction?
- A. Taking over a competitor's business
 - B. Issuing shares to individuals and institutions
 - C. Lowering prices of your product or service
 - D. Developing a new product
7. Which outcome is most directly linked to strong entrepreneurial activity in a region?
- A. Declining variety of products
 - B. Higher rates of firm entry and innovative offerings
 - C. Lower skill formation
 - D. Reduced technological diffusion
8. A student who consistently conducts small experiments with assumptions, tests, and learning loops is demonstrating:
- A. Administrative control
 - B. Entrepreneurial behavior as a lifestyle
 - C. Passive learning
 - D. Opportunism without discipline
9. Which statement about risk in entrepreneurship is most accurate?
- A. Risk can be fully eliminated with more data
 - B. Risk and uncertainty are inherent; the task is to manage and price them

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20. Kunkel's Theory of Entrepreneurial Supply primarily highlights:
- A. International trade tariffs
 - B. How social and environmental conditions shape the supply of entrepreneurs
 - C. Only personality traits
 - D. Stock market cycles
21. Kirzner's perspective frames entrepreneurs chiefly as:
- A. Planners of five-year strategies
 - B. Alert discoverers of previously unnoticed opportunities
 - C. Risk eliminators through contracts
 - D. Controllers of labor costs
22. In Opportunity Theory (e.g., Shane & Venkataraman), an opportunity exists when:
- A. A founder is passionate
 - B. New means-ends relationships can be profitably exploited
 - C. A product is trendy
 - D. Competitors are many
23. The tight link between entrepreneurship and innovation is best described as:
- A. Entrepreneurs implement novel combinations that create value
 - B. Innovation is optional and unrelated
 - C. Innovation is only R&D spending
 - D. Innovation only occurs in large firms
24. Cantillon is often cited for emphasizing which entrepreneurial role?
- A. Venture capital investor
 - B. Risk-bearing intermediary buying at certain prices, selling at uncertain ones
 - C. Government regulator
 - D. Production engineer
25. Which statement best distinguishes entrepreneurship from routine management?
- A. Entrepreneurship focuses on exploiting uncertainty and change
 - B. Both are identical in aims and contexts
 - C. Management avoids decision-making under uncertainty
 - D. Entrepreneurship excludes resource coordination
26. The advantage of self-employment is.....
- A. Flexible working hours
 - B. Freedom to choose the type of work
 - C. High potential to enhance income
 - D. All of the above
27. Which is the least characteristic of entrepreneurs?
- A. Proactivity
 - B. Tolerance for ambiguity
 - C. External locus of control

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D. Resilience

28. Which of the following statements represent the five personality dimensions of entrepreneurs...

- A. Achievement; autonomy; external locus of control; risk taking propensity and entrepreneurial self-efficacy.
- B. Achievement; autonomy; external locus of control; risk taking propensity and entrepreneurial self-efficacy.
- C. Achievement; autonomy; internal locus of control; risk taking propensity and entrepreneurial self-efficacy
- D. Achievement; autonomy; external locus of control; high risk-taking propensity and entrepreneurial self-efficacy

29. Which among the following is a common push factor for entrepreneurship in Uganda?

- A. Passion for business
- B. Displacement from job
- C. Unemployment
- D. Non-Satisfaction from job

30. Entrepreneurship offers numerous advantages to individuals. What fundamental advantage motivates entrepreneurs to embrace this path?

- A. The advantage of a fixed and predictable income.
- B. The advantage of making a meaningful difference in their chosen ventures and beyond.
- C. The advantage of avoiding challenges and uncertainties.
- D. The advantage of working within established norms and frameworks.

31. Entrepreneurship has a significant role at the country level. How does entrepreneurship contribute to a country's GDP and economic development?

- A. By maintaining stable prices and controlling inflation.
- B. By enforcing strict regulations and policies.
- C. By creating a competitive advantage through innovation and market expansion
- D. By encouraging reliance on a single dominant market player.

32. Entrepreneurship has profound effects at an individual level. What significant aspect of an individual's life does entrepreneurship impact?

- A. It hinders personal growth and development.
- B. It limits an individual's potential by adhering to predefined career paths.
- C. It provides an opportunity to make a difference and reach one's full potential.

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D. It discourages innovation and creativity.

33. Which tool is a model for assessing business needs by aligning products with customer jobs, pains, and gains?

- A. PESTLE
- B. Value Proposition Canvas
- C. Porter's Five Forces alone
- D. Annual budget variance report

34. A good practice for identifying business ideas is to:

- A. Brainstorm once and select the most exciting idea
- B. Triangulate user insights, feasibility constraints, and testing small prototypes
- C. Avoid customer conversations to prevent bias
- D. Choose the idea with the largest total addressable market slide

35. In design thinking, rapid prototyping mainly serves to:

- A. Save money by avoiding any user involvement
- B. Speed learning by making assumptions testable early
- C. Replace market research completely
- D. Guarantee product-market fit

36. Creativity in entrepreneurship most usefully means:

- A. Only generating many novel ideas
- B. Generating novel and useful ideas that can be developed into value propositions
- C. Copying ideas from other industries without adaptation
- D. Avoiding constraints

37. A needs assessment that maps stakeholders, gaps, root causes, and desired outcomes is closest to:

- A. Problem tree / logic model thinking
- B. Discounted cash flow
- C. Tax compliance checklist
- D. Asset depreciation schedule

38. Which statement about innovation risk is sound?

- A. All innovation risk is technical
- B. Market and adoption risk often dominate technical risk in early stages
- C. Risk disappears after prototyping
- D. User testing increases bias

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39. A team that tests three alternative prototypes with users next week is applying which principle?

- A. Big-bang launch
- B. Iteration and parallel experimentation
- C. Waterfall planning
- D. Postponed validation

40. The entrepreneurial mind is best described as:

- A. Fixed traits that cannot be developed
- B. A set of learnable cognitive habits like opportunity recognition, experimentation, resilience
- C. Pure luck orientation
- D. Aversion to feedback

41. Growth vs Fixed Mindset: a growth mindset implies that abilities:

- A. Are innate and unchangeable
- B. Can be developed through effort, strategies, and feedback
- C. Depend only on talent
- D. Are irrelevant for entrepreneurship

42. Which is not a typical function of a mindset?

- A. Framing how we interpret information
- B. Guiding choices and persistence
- C. Shaping reactions to setbacks
- D. Determining government interest rates

43. Mindsets are formed primarily through:

- A. Repeated experiences, beliefs, feedback, and social modeling
- B. Genetic certainty alone
- C. Single events only
- D. Corporate policy documents

44. Which set aligns with an entrepreneurial values orientation?

- A. Risk-taking, proactiveness, innovativeness
- B. Passivity, conformity, risk aversion
- C. Hierarchical control, centralization, routine
- D. Secrecy, avoidance, indecision

45. An internal locus of control in entrepreneurs reflects the belief that:

- A. Outcomes are dictated by fate only
- B. One's actions can influence outcomes
- C. Only networks matter

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D. External conditions fully determine performance

46. Tolerance for ambiguity most directly helps entrepreneurs to:

- A. Delay all decisions
- B. Operate effectively when information is incomplete
- C. Avoid experiments
- D. Depend on certainty before acting

47. Entrepreneurial mindset profiling tools typically aim to assess:

- A. Only intelligence quotient
- B. Patterns like opportunity recognition, persistence, resilience, and risk preferences
- C. Political affiliation
- D. Job tenure alone

48. A founder who re-frames failure as data and tries again with a revised hypothesis is demonstrating:

- A. Sunk cost fallacy
- B. Learned helplessness
- C. Grit and a learning orientation
- D. Status-quo bias

49. Which classroom practice best cultivates an entrepreneurial mindset?

- A. Sole lecture format and closed-book exams
- B. Reflection journals, hypothesis tests with real users, and iterative project work
- C. Memorizing definitions only
- D. Penalizing experimentation

50. The most important reason amongst others why people in Uganda start their own business is to....

- A. Serve their community
- B. Survive financially
- C. Live their entrepreneurial destiny
- D. To sell their innovative products

..... End of the question paper.....